Growing demand

The current total available market (TAM) for medical devices in India is US$12 billion and is expected to grow annually at 12.5%. It is projected to reach US$40 billion in a decade's time, which is a higher growth rate than the global average of 5% (IBEF). The exports of medical devices from India stood at US$2.9 billion in FY22 and are expected to rise to US$10 billion by 2025.

The growing per capita income of India, focus on preventive care and wellness, and the aging population will further contribute to the demand for healthcare delivery.

Increasing investments

The world experienced the supply-chain concentration risk during the Covid pandemic, and the economies across the globe have decided to de-risk the supply-chain though 'China + 1' policy. India stands at a sweet spot to leverage this opportunity though its unique advantages including cost-effective labour, a rich natural resource pool, conducive policy structures, and geographical suitability.

India is witnessing significant investments from global business houses in setting up semiconductor fabs, chip designing R&D, semiconductor packing, assembly lines, and after-market support systems. Apple and their EMS partners—Foxconn/Wistron/Pegatron, Hyundai, Mitsubishi, LG, among others, are gearing up their capex plans for India.

We are also seeing equal interest by big Indian business houses, including Vedanta, TATA, Ola, Ather, and Ampere, who have revealed huge capex plan for the next couple of years. The overall sentiment around manufacturing in India is very bullish, as reflected in the record listings of Dixon Technologies, SGS Syrma Technology, Avalon Technologies, etc on the stock exchanges.

These advantages in India are invigorating the electronics manufacturing ecosystem, and medical devices sector is not untouched by these stimuli. In FY20, foreign investments in the medical devices sector increased by 98% YoY to ₹21.96 billion (US$301.01 million), as against ₹11.08 billion (US$151.87 million) in FY19.

Policy support

India has made significant strides in global rankings on the Ease of Doing Business Index. The government has taken a series of steps to make India the most preferred destination for manufacturing.

First, the government has introduced time-bound, single-window clearance for all regulatory clearances and licenses.

Second, India is partnering with companies to help them acquire land and provide access to all the necessary resources.

Third, the country is committed to offering the most competitive business environment through production linked incentives and research linked incentives across sectors.

Fourth, India is also committed to providing a stable policy/regulatory environment to the investors so that they rest assured about the continuity and longevity of return on investments.

Fifth, the country has announced National Medical Devices Policy 2023 to catapult the medical device production and innovation in India to position itself as a future leader in the domain.

In July 2022, the government tabled a draft for the new Drugs, Medical Devices and Cosmetics Bill 2022, to assure and offer thorough legal protection and to ensure that the medical items sold in India are reliable, efficient, and up to required standards (Source - IBEF).

To improve the quality standards of medical products and boost their global acceptance, all critical medical devices have been put under the scope of Central Drugs Standard Control Organization (CDSCO), which has established the regulatory standards on quality that all medical device manufacturers must adhere to. This step has brought the 'Quality First' mindset to the forefront in the industry.

To facilitate easy business existence, India has established a strong National Company Law Tribunal (NCLT) under The Insolvency and Bankruptcy Code, 2016 (IBC), which creates a consolidated framework governing insolvency and bankruptcy proceedings for companies, partnership firms, and individuals. The government of India is commit-